

COMPLIANCE GUIDE FOR COMPANIES HOLDING THE CFC STATUS

This guide provides a concise overview of the legal and regulatory requirements applicable to companies holding the CFC status. Compliance with these provisions is essential to maintaining the CFC status and reflects members' commitment to enhancing the attractiveness, credibility, and international standing of Casablanca Finance City as Africa's leading financial hub.

COMPLIANCE REQUIREMENTS

1. Eligibility and business activity

The retention of the CFC status is subject to strict requirements regarding both the continued satisfaction of eligibility conditions and the performance of a genuine and substantial business activity.

A. Companies whose CFC status is granted on a conditional basis must comply with the applicable legal and regulatory deadlines.

- **Completion of legal incorporation procedures:** For companies in the process of being established, all legal incorporation formalities must be completed within a maximum period of six (6) months following the notification of the granting of the CFC status.

- Non-compliance with this deadline shall automatically render the CFC status null and void.

- **Effective commencement of operations :** Business activities must effectively commence within twelve (12) months following the notification of the granting of the CFC status.

- Failure to meet this deadline may result, upon proposal by CFCA, in the withdrawal of CFC status by the Ministry in charge of Finance.

B. Purpose and business activity of companies holding the CFC status

The company holding the CFC status must remain in continuous compliance with the eligibility criteria on the basis of which this status was originally granted, in particular by:

- ensuring a direct link between its revenue-generating activities and the company's main and usual corporate purpose;
- carrying out activities that align with the CFC mandate to strengthen economic growth and facilitate cross-border trade and financial flows.

2. Governance and organisational requirements

Companies holding the CFC status are subject to rigorous requirements regarding substance, organisational structure, and executive management quality.

A. Substance and effective management

Any company holding the CFC status must demonstrate a material presence within the Casablanca Finance City ecosystem, in particular through:

- **Registered office and operations:** Maintaining its registered office within the CFC zone and ensuring its activities are conducted from these premises.
- **Effective management:** Ensuring the company is directed and effectively managed from its CFC-based office.
- **Executive residency:** At least one executive officer must maintain both tax and physical residency in Morocco.

B. Qualification of human resources

The company must deploy highly qualified staff, with proven international managerial experience. Specifically, the leadership team must include at least one Senior Executive with a documented track record of at least:

- Three (3) years of experience for technical and administrative service providers, auxiliary service providers, as well as trading companies.
- One (1) year of experience for all other eligible service providers.

C. Case of change in governance

In the event of a replacement of an executive officer listed in the initial CFC status application, the company must:

1. Notify CFCA without delay.
2. Provide evidence that the newly appointed executive meets the legal international experience requirements to ensure continued compliance with the CFC Status criteria.

D. Organisational resources and ethical standards

Each company holding the CFC status must demonstrate compliance and operational readiness across the following areas:

- **Organisational structure:** A framework commensurate with the scale and complexity of its business activity programme.
- **Technical resources:** tools and infrastructure consistent with its operational missions.
- **Information and accounting systems:** systems ensuring continuous compliance with the conditions under which the CFC status was granted.
- **Good repute and professional integrity:** Unquestionable integrity and ethical conduct from its executive officers.

3. Annual fees

Companies granted the CFC status are required to pay an annual fee to CFCA, in consideration for its development and promotion services. The specific calculation and payment modalities for this fee are established by CFCA and communicated to the relevant companies

4. Reporting and monitoring obligations

Companies holding the CFC status are required to submit to CFCA an annual report prepared in accordance with a template developed by CFCA and approved by the supervisory authorities.

- **Deadline :** the report must be submitted within three (3) months following the closing of each financial year.
- **Late submission penalty :** a fine of MAD 3,000 per day of delay shall apply in case of failure to meet the prescribed deadline.



For any compliance-related inquiries regarding CFC status, please contact the status CFC & compliance Team at : statut.conformite@cfca.ma



WITHDRAWAL, SUSPENSION AND AMENDMENT OF CFC STATUS

The retention of the CFC status is conditional upon the continuous fulfilment of the initial commitments. Any breach of these commitments or substantial change may result in a one-year suspension or the definitive withdrawal of the CFC status.

5. Withdrawal of the CFC status

CFC status shall be withdrawn by Ministry in charge of Finance, upon proposal by CFCA. Withdrawal may occur either upon the company's voluntary request or be enforced in the following cases:

- **Withdrawal of authorisation:** For companies holding both a CFC status and a licence or authorization by a supervisory authority, the CFC status is withdrawn in the case that the licence or authorisation are revoked.
- **Non-use of status:** if the company does not effectively use its CFC status within twelve (12) months following notification.
- **Cessation of activity:** if the company no longer carries out its main activity for a minimum period of six (6) months.
- **Failure to comply with criteria and commitments:** if the company fails to meet the eligibility conditions or breaches the commitments undertaken in its initial application.

Procédure : any withdrawal decision is based on a substantiated report prepared by CFCA and transmitted to the Ministry in charge of Finance.

6. Suspension and disciplinary measures

Where the compliance matters identified do not constitute a fundamental breach of the CFC eligibility criteria or the company's initial commitments, the following regularization procedure shall be initiated:

- **Formal warning:** The CFCA shall issue a formal warning to the company, stipulating a mandatory deadline for the rectification of the identified breaches.
- **Suspension:** Should the company fail to achieve compliance within the prescribed timeframe, the CFC status shall be suspended for a period of twelve (12) months.
- **Definitive withdrawal:** The withdrawal may be confirmed if the breach is not regularised upon the expiry of the suspension period, or in the event of recurrence (defined as a similar breach committed within five (5) years of the initial warning).

7. Amendment of the CFC status

The CFC status is strictly contingent upon the corporate structure and the business project presented at the time of application. Therefore:

- Any change affecting the company's control (change in majority shareholding) or a significant shift in the nature of its activities shall render the status null and void.
- Such changes mandate the submission of a new application for CFC status.

All obligations mentioned above are provided for under the legislative and regulatory framework governing Casablanca Finance City or are issued by CFCA in application of such framework. Compliance with these requirements is essential to the credibility, stability, and attractiveness of Casablanca Finance City and its ecosystem.

The relevant legislative and regulatory framework is available below in its version published in the Official Bulletin:

- Decree-Law No. 2-20-665 of 12 Safar 1442 (30th of September 2020) reorganising Casablanca Finance City (French version).

- Decree No. 2-20-841 of 8 Joumada I 1442 (23th of December 2020) issued in implementation of Decree-Law No. 2-20-665 of 12 Safar 1442 (30 September 2020) reorganising Casablanca Finance City (French version).

- Decision of the Chief Executive Officer of CFC Authority No. 01/2026 of 2nd of January 2026 setting out the modalities for the calculation and payment, for the benefit of CFC Authority, of the instruction fee and the annual fee (French version).